AA015_2022/23

SET 2 / TRIAL PSPM

**QUESTION 1 [20 marks]**

(a) Bank statement of Gam Bang Enterprise dated 31 May 2022 as follows:

| Date | Particulars | Debit (RM) | Credit (RM) | Balance (RM) |
|---|---|---|---|---|
| May 1 | Balance | | | 904.00 |
| 3 | Cheque clearance - 615320 | | 117.00 | 1,021.00 |
| | Cheque no. 155769 | 100.00 | | 921.00 |
| | Cheque processing fee | 0.50 | | 920.50 |
| 12 | Cheque no. 155771 | 100.00 | | 820.50 |
| | Cheque processing fee | 0.50 | | 820.00 |
| 13 | Cheque clearance - 154338 | | 2,000.00 | 2,820.00 |
| 14 | Cheque no. 155768 | 150.00 | | 2,670.00 |
| | Cheque processing fee | 0.50 | | 2,669.50 |
| 26 | Cheque no. 155772 | 57.00 | | 2,612.50 |
| | Cheque processing fee | 0.50 | | 2,612.00 |
| 27 | Transfer to A/C – Note Receivable | | 1,050.00 | 3,662.00 |
| 29 | Cheque clearance - 756630 | | 1,000.00 | 4,662.00 |
| 30 | Cheque book | 7.50 | | 4,654.50 |

**Cash Book**

| Date | Particulars | Cheque No. | Cash | Bank | Date | Particulars | Cheque No. | Cash | Bank |
|---|---|---|---|---|---|---|---|---|---|
| May1 | Balance b/f | | 29.00 | 654.00 | May 8 | Lipis Trading | 155770 | | 95.00 |
| 2 | Bentong Enterprise | 155660 | | 117.00 | 11 | Freight-out | 155771 | | 100.00 |
| | | | | | 25 | Office expense | | 92.00 | |
| 11 | Rent deposit | | 100.00 | | 26 | Maran Trading | 155772 | | 75.00 |
| 16 | Kuantan Trading | 154662 | | 273.00 | 30 | Rompin Trading | 155773 | | 1,429.00 |
| | | | | | 31 | Balance c/f | | 75.00 | |
| 20 | Pekan Enterprise | 154338 | | 200.00 | | | | | |
| 28 | Commission | | 38.00 | | | | | | |
| 31 | Balance c/f | | | 455.00 | | | | | |
| | | | 167.00 | 1,699.00 | | | | 167.00 | 1,699.00 |

**Additional Information:**

1. All entries in the bank statement are correct except for cheque no. 756630 was wrongly credited by the bank. The cheque actually belongs to Gam Bir Enterprise.
2. Bank transfer for Note Receivable includes the interest RM50.00.

**REQUIRED:**

Prepare a Bank Reconciliation Statement for Gam Bang enterprise as 31 May 2022.

(b) The following shows the information of Account Receivables for Sejati Enterprise (SE) for the year of 2021 and 2022.

| 2021 | |
|---|---|
| | **RM** |
| Beginning balance of Account Receivables | 15,000 |
| Total credit sales | 32,000 |
| Sales return and allowance | 2,000 |
| Sales discount | 500 |
| Account receivables write off | 1,700 |
| Payment form debtors by cheque | 22,000 |
| Allowance for doubtful account ending on 31.12.2021 is 10% of balance in accounts receivables. | ? |

| 2022 | |
|---|---|
| | **RM** |
| Beginning balance of Account Receivables | ? |
| Total credit sales | 55,000 |
| Sales return and allowance | 7,000 |
| Sales discount | 2,800 |
| Account receivables write off | 300 |
| Payment form debtors by cheque | 30,000 |
| Bad debt recovered and received payment from debtor by cheque | 1,300 |
| Allowance for doubtful account ending on 31.12.2022 is 10% of balance in accounts receivables. | ? |

**Instructions:**

a. Prepare journal entry to record all related transactions of Account Receivables and adjustment of Allowance for Doubtful Account for the year of 2022. (Omit explanation)

b. Prepare Account Receivables and Allowance for Doubtful Account for the year of 2022.

c. Show the Statement of Financial Position as at 31 December 2022.

**QUESTION 2 [20 marks]**

Murni Enterprise had prepared an inventory record for the month of January 2022 and had recorded transactions of inventories continuously. The beginning inventory on 1st January 2022 was 20 units at the cost of RM300 per unit.

Murni Enterprise had recorded the following transactions for the month of January:

| Date | Activity | Quantity Units | Cost per unit (RM) | Price (RM) |
|---|---|---|---|---|
| Jan 3 | Sales | 17 | | 400 |
| 5 | Purchases | 18 | 310 | |
| 20 | Sales | 14 | | 410 |
| 24 | Sales | 5 | | 420 |
| 26 | Purchase | 20 | 320 | |

**Required:**

i).Using First-In-First-Out (FIFO) valuation method and Last-In-First-Out (LIFO) valuation method, calculate :

a) Cost of goods sold
b) Ending inventory cost
c) Gross profit

ii) Based on the answer above, which method will earn more profit?

## QUESTION 3 [20 marks]

(a) The following information regarding equipment is extracted from the Statement of Financial Position of Meriah Sdn. Bhd. as at 31 December 2020:

| Cost (RM) | Date purchased | Residual value (RM) | Useful lives (years) | Depreciation method |
|---|---|---|---|---|
| 220,000 | 10 March 2017 | 30,000 | 10 | Straight line |

Meriah Sdn. Bhd. purchased equipment on 20 April 2021. Cost of the equipment is RM55,000 (excluding insurance in transit RM1,200 and installation RM300) and payment is made by cheque . The equipment is estimated to have a residual value of RM5,000 and useful life of 5 years.

The company's policy is to calculate depreciation based on yearly basis.

**INSTRUCTIONS:**

i. Prepare journal entries to record purchase of equipment on 20 April 2021.

ii. Prepare journal entries to record depreciation expenses at 31 December 2021

iii. Show Depreciation Expenses account and Accumulated Depreciation account for the year ended 31 December 2021.

(b) On 1 August 2021, Kelana Sdn. Bhd purchased a new machine, RM70,000 by exchanging the old machine with cash payment RM38,500. The following information relating to old machine:

| | |
|---|---|
| Cost of machine | RM54,000 |
| Accumulated depreciation as at 31 December 2020 | RM24,300 |
| Annual depreciation | RM8,100 |

Depreciation is calculated on monthly basis, no depreciation on the disposal date. The business accounting period ends on 31 December of each year.

**INSTRUCTIONS:**

i. Show journal entries to record depreciation expense of old machine in the current year until the date of trade-in.

ii. Show journal entries to record the purchase of a new machine on 1 August 2021.

**QUESTION 4 [25 marks]**

(a) i. Details of an account Ikhlas Sdn Bhd shows the following non current liabilities.

| | Total (RM) | Interest per annum | Interest Payment | Date of Issue |
|---|---|---|---|---|
| Notes Payable (2 Years) | 100,000 | 10% | At maturity date (31/12/2021) | 01/01/2020 |
| Bond Payable (5 Years) | 300,000 | 5% | Twice a year on 1st July and 1st January | 01/03/2020 |
| Accounting year ended on each 31st December. | | | | |

**Required:**

a) Prepare journal entries on the date of 31 December 2021.
b) Prepare the extract statement of financial position as at 31 December 2021.

ii. Perniagaan GE issues a RM600,000, 5%, 10 years mortgage on 1 January 2022. The term provide for monthly installment payment of RM3,000 (including annual interest 5%).

**Required:**

a) Prepare mortgage installment payment schedule for the first 3 month. (round up the answer to nearest Ringgit)
b) Prepare journal entry to record the third installment payment. (principal and interest expense)

**(b)** i. Nafiz, Hadif and Ifwat Partnership was established on 1 January 2021.

Nafiz, Hadif and Ifwat had beginning capital balances of RM50,000, RM70,000 and RM65,000 respectively.

During the year Nafiz contributed RM95,400, Hadif contributed RM64,300 and Ifwat contributed RM100,400 additional capital into the business. Hadif and Ifwat made withdrawals of RM5,000 and RM7,500. The partners agreed to share profit based on the ratio of 3:3:4 (Nafiz:Hadif:Ifwat). The partnership earned a net profit of RM850,500 for the year 2021.

**REQUIRED:**

Prepare a statement of changes in equity for the year ended 31 December 2021.

ii. Beginning capital for Seri Gopeng Sdn Bhd had the following beginning balances as at 1 January 2021:

| | |
|---|---|
| Common shares | RM500,000 |
| Preference shares | RM380,000 |
| Retained earnings | RM880,650. |

During the year the company issued 600,500 of common shares of RM1.85 each and 200,500 of preference shares of RM2.50 each, while net profit was RM1,980,200 and cash dividends declared and paid were RM944,500.

**REQUIRED:**
Prepare the Statement of Changes in Equity for the year ended 31 December 2021.